

The Decoy Effect

What is it?

Introducing an unappealing option to make another choice look better.

People often change their preferences when a third, less-attractive option is introduced.

For example, when you see three pricing plans—basic, standard, and premium—and the standard plan is close in price to the premium one, the premium suddenly looks like a better deal.

History

The Decoy Effect was first identified by **Joel Huber**, **John Payne**, and **Christopher Puto** in **1982**.

Their research revealed that when a clearly inferior (decoy) option is added, it can shift people's preferences toward the more expensive or strategically preferred choice.

The Psychology Behind It

People don't make decisions in isolation—they compare.

When a less-attractive option is introduced, it serves as a **reference point** that makes another choice look superior.

Our brains use this relative comparison shortcut to simplify decision-making, even if the "better" option isn't the most logical one.

Why It Matters

- Simplifies decision-making for users
 - Guides customers toward high-value options
 - Can improve conversions and upsells
 - Risks manipulation if used unethically
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How to Apply It

- **Use decoy pricing** – Eg: Add a slightly worse plan to make the preferred one stand out.

- **Offer bundle comparisons** – Eg: Combine items strategically to highlight value.
 - **Visual emphasis** – Eg: Highlight the “recommended” plan to draw attention.
 - **Test with data** – Eg: A/B test pricing tiers to ensure fairness and clarity.
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Theory in Action

- **Starbucks** uses the Decoy Effect by pricing the *Grande* between *Tall* and *Venti*, making the largest size seem like better value.
 - **The Economist** once offered three subscription plans: Web (\$59), Print (\$125), and Web + Print (\$125). The decoy (Print-only) plan made the combo look far superior, increasing total sales.
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Final Thought

The Decoy Effect isn't just clever marketing—it's behavioral psychology at work.

When used ethically, it helps users make confident decisions and businesses present value clearly.

When overused, it risks feeling manipulative—so balance is everything.